Illustration 4

Khan Ltd. issued 50,000 shares of ₹ 10 each to the public payable ₹ 4 on application, ₹ 4 on allotment and ₹ 2 on first and final call. Applications were received for 65,000 shares. The directors decided to allot 50,000 shares on pro rata basis and surplus application money was utilised for allotment. Pass journal entries assuming that the amounts due were received.

Solution

In the books of Khan Ltd.

Journal entries

Date	Particulars	L.F.	Debit ₹	Credit ₹
	Bank A/c (65,000 × 4) Dr. To Equity share application A/c (Application money received)		2,60,000	2,60,000
	Equity share application A/c (50,000 × 4) Dr. To Equity share capital A/c (Transfer of share application money to share capital)		2,00,000	2,00,000
	Equity share application A/c (15,000 × 4) Dr. To Equity share allotment A/c (Excess share application money utilised for allotment)		60,000	60,000
	Equity share allotment A/c Dr. To Equity share capital A/c (Share allotment money due)		2,00,000	2,00,000
	Bank A/c (2,00,000 – 60,000) Dr. To Equity share allotment A/c (Allotment money received)		1,40,000	1,40,000
	Equity share first and final call A/c (50,000 × 2) Dr. To Equity share capital A/c (Share first and final call money due)		1,00,000	1,00,000
	Bank A/c Dr. To Equity share first and final call A/c (Share first and final call money received)		1,00,000	1,00,000

Illustration 5

Sudha Ltd. offered 1,00,000 shares of ₹ 10 each to the public payable ₹ 3 on application, ₹ 4 on share allotment and the balance when required. Applications for 1,40,000 shares were received on which the directors allotted as:

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